MITSUBISHI MOTORS
Drive your Ambition

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General Letter GL-18-022 **3 July 2018**

To: **Service Managers, Parts Managers, cc Dealer Principals**

Subject: **JFY 2018 Q2 20% Warranty Labour Rate Incentive**

MMAL is pleased to announce the reintroduction of an expanded **20% Warranty Labour Rate Incentive (WLRI)** program for Q2. The **Top 30 Dealers** (top 10 Metro, top 10 Provincial & top 10 Rural) will score a 20% Warranty Labour Rate increase on approved Dealer Warranty claims (including recall claims) submitted during Q3.

Dealers who have achieved this incentive in the past will know that an additional 20% on your warranty labour rate is a game changer for Service profitability. Start planning today to maximise your opportunity. This program consists of 11 scoring criteria, 3 of which have mandatory minimum scoring levels in order to qualify for the incentive.

Mandatory requirements

1. **Service CSI** - Dealers must achieve an average CSI score for the quarter as follows: Metro - 77, Provincial - 78, Rural - 79
2. **Quarterly Hard Parts Purchase against target** - Dealers must achieve 100% of their quarterly Hard Parts Purchase target.
3. **Takata Recall booking lead time** – Dealer must maintain a Takata booking lead time of 14 days or less to be verified via regular mystery shop phone bookings.

Additional points are on offer for achieving the following items. For full details refer to the scoring matrix on the following page.

4. Service CSI - Value for Money (Question 9).
5. Service CSI - Contact after service or repair work (Question 11)
6. PMA Service Retention (12month/15,000km)*
7. Brake pad purchases ($ value) percentage growth quarter on quarter (refer Appendix 1)
8. Battery purchases ($ value) percentage growth quarter on quarter (refer Appendix 1)
9. Service Kits purchases ($value) percentage growth quarter on quarter (refer Appendix 1)
10. Engine oil filter purchases ($ value) percentage growth quarter on quarter (refer Appendix 1)
11. Pollen filter purchases ($ value) percentage growth quarter on quarter (refer Appendix 1)

The above criteria are designed to promote cross functional support within your Dealership and drive high levels of Customer Satisfactions, Service Retention and Service Revenue, which are all key business objectives during 2018. Good Luck!

Yours faithfully
Mitsubishi Motors Australia Limited

Andrew Howard
Deputy Director
Aftersales & Customer Experience

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The following scoring matrix will apply for FY2018 Quarter 2

FY2018 20% WLRI PROGRAM SCORING MATRIX								Maximum points for Q2
Description	Measured	Criteria	Points	Criteria	Points	Criteria	Points	
^Service CSI (average quarter) score - Metro Dealers	Quarterly	77	250	82	500	87	750	750
^Service CSI (average quarter) score - Provincial Dealers	Quarterly	78	250	83	500	88	750	750
^Service CSI (average quarter) score - Rural Dealers	Quarterly	79	250	84	500	89	750	750
^Quarterly Hard Parts Purchase achievement (%) against target	Quarterly	100%	250	105%	500	110%	1000	1000
^Takata Recall booking lead time (14 days or less)	Quarterly	Pass	500					500
CSI Q9 Value for money of service and repair work (actual month result)	Monthly	68	100	75	150	82	400	1200
CSI Q11 Contact after service and repair work (actual month result)	Monthly	68	100	75	150	82	400	1200
PMA Service Retention (12month / 15,000km)	Monthly	82%	100	90%	150	100%	400	1200
Brake pads purchases $ value (%) growth quarter on quarter	Quarterly	5%	150	15%	250	25%	750	750
Battery purchases $ value (%) growth quarter on quarter	Quarterly	5%	150	15%	250	25%	750	750
Service Kits $ value (%) growth quarter on quarter	Quarterly	5%	150	15%	250	25%	750	750
Engine Oil Filter purchases $ value (%) growth quarter on quarter	Quarterly	5%	150	15%	250	25%	750	750
Pollen filter purchases $ value (%) growth quarter on quarter	Quarterly	5%	150	15%	250	25%	750	750
^ denotes mandatory criteria		Minimum mandatory criteria						11,100

Reporting

MMAL will provide monthly progress reports for Dealers to monitor their progress and implement improvement activities to address opportunities.

This incentive is a great opportunity to drive Customer Satisfaction, Service Retention and Service Revenue for those Dealers who strive to achieve.

Data Sources for measuring results

Data used for the monthly and final score ranking will be sourced from:

- SAP
- Vital Software
- Dealer Reports (MMAL Systems)
- Relevant MMAL Departments (for data validation)
- Op2ma (Service CSI)
- MMAL Mystery Shop

Tied Results

In the event of a tied final score, the tied Dealers will be ranked based on their CSI quarter (average) result via countback until a definitive winner is determined.

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Key definitions

Parts purchase data is based on purchases directly from MMAL Parts Distribution Centre or an MMAL approved Distributor (Dealer to Dealer transactions are not measured).

*PMA Service Retention is determined as total number of vehicles sold in your PMA 12 months prior divided by the total number of (12month / 15,000Km) Mitsubishi Service Events.

^ Denotes mandatory criteria

(1) Brake pad purchases are measured on selected parts numbers as indicated in App. 1

(2) Battery purchases are measured on selected parts numbers as indicated in App. 1

(3) Service Kit purchases are measured on selected parts numbers as indicated in App. 1

(4) Engine oil filter purchases are measured on selected parts numbers as indicated in App. 1

(5) Pollen filter purchases are measured on selected parts numbers as indicated in App. 1

Please Note:

- The WLRI is based on individual Dealer level performance, and awarded at an individual Dealer level.
- Accuracy of data is the responsibility of the relevant Dealer
- No correspondence will be entered into regarding final scores and outcomes.
- MMAL reserves the right to alter the program and criteria at any time.

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Appendix 1

The following table represents the Part numbers to be measured for criteria 7 to 11

MMAL Material Group	Material	Part Name
PAHD9200	7803A004	AIR REFRESHER ASSY
PAHD9200	7803A027	AIR REFRESHER ASSY
PAHD9200	7803A112	AIR REFRESHER ASSY
PAHD9200	7850A002	AIR REFRESHER ASSY
PAHD9200	7803A027	AIR REFRESHER ASSY
PAHD9200	7803A084	AIR REFRESHER ASSY
PAHD9200	7803A109	AIR REFRESHER ASSY
PAHD9200	MR398288	AIR REFRESHER ASSY
PAHD7000	AW345886	Battery - 40CMF
PAHD7000	AW345887	Battery - 40CPMF
PAHD7000	AW345885	Battery - 40DMF
PAHD7000	AW347918	Battery - 52DMF
PAHD7000	DS000456	Battery - 54CMF
PAHD7000	AW347924	Battery - 54DMF
PAHD7000	MR936226	Battery - 55D23DMF
PAHD7000	AW345834	Battery - DIN55MF
PAHD7000	AW345838	Battery - DIN66MF
PAHD7000	MR936253	Battery - DIN77MF
PAHD7000	AW345839	Battery - DIN88MF
PAHD7000	MR921335	Battery - X40CMF
PAHD7000	MR936223	Battery - X40CPMF
PAHD7000	AW345819	Battery - X55D23DMF
PAHD7000	MR921332	Battery - X56DMF
PAHD7000	MR921333	Battery - X60CMF
PAHD7000	MR936221	Battery - X60CPMF
PAHD7000	DS000450	Battery - XN70EXL
PAHD7000	AU900664	BATTERY DIN66HMF
PAHD7000	AU900666	BATTERY XDIN44MF
PAHD7000	AU900665	BATTERY XDIN66DMF
PAHD7000	MR936225	BATTERY, 55D23CMF
PAHD7000	AW345815	BATTERY, X55D23CMF
PAHD7000	AU900063	BATTERY,N70ZZLMF
PAHD7000	AU900226	BATTERY-N50ZZLMF
PAHD7000	AU900225	BATTERY-N50ZZMF
PAHD7000	AU900064	BATTERY-N70ZZMF
PAHD2100	MD352627	OIL FILTER
PAHD2100	1230A153	OIL FILTER
PAHD2100	1230A154	OIL FILTER
PAHD2100	1230A182	OIL FILTER
PAHD2100	1230A184	OIL FILTER
PAHD2100	ME201871	OIL FILTER
PAHD2100	MR925945	OIL FILTER
PAHD2100	MR984204	OIL FILTER
PAHD2100	ME013307V	OIL FILTER (CARTRIDGE)
PAHD2100	MD360935	OIL FILTER ASSY 65MM
PAHD2100	MD360935	OIL FILTER ASSY 65MM
PAHD2100	MD356000	OIL FILTER-66MM HIGH
PAHD0801	4605B005	PAD SET,FR BRAKE
PAHD0801	4605B541	PAD SET,FR BRAKE
PAHD0801	4605B806	PAD SET,RR BRAKE
PAHD0801	4605B808	PAD SET,RR BRAKE
PAHD0801	4605A261	PAD SET-FR BRAKE
PAHD0801	4605A284	PAD SET-FR BRAKE
PAHD0801	4605A481	PAD SET-FR BRAKE
PAHD0801	4605A486	PAD SET-FR BRAKE
PAHD0801	4605A389	PAD SET-RR BRAKE
PAHD0801	4605A479	PAD SET-RR BRAKE
PAHD0801	4605A487	PAD SET-RR BRAKE
PAHD0801	4605A783	PAD SET-RR BRAKE
PAHD9200	AU900632	Service Kit
PAHD9200	AU900633	Service Kit
PAHD9200	AU900634	Service Kit
PAHD9200	AU900635	Service Kit
PAHD9200	AU900636	Service Kit
PAHD9200	AU900637	Service Kit

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